

Executive summary

Weekly Investment Meeting

Section 1: The week in one paragraph

A quiet tape with energy doing all the work

The S&P 500 added 0.33% and no major benchmark moved more than 1.4% in either direction, which makes this the calmest week in a long time and the easiest one to misread from the index alone.

Two things happened underneath. Cooler July inflation, headline CPI at 3.4% and core at 2.5%, pushed the first expected Fed hike further out and took the front end lower. The long end refused to follow: Thursday's 30-year auction cleared at its highest yield since 2001, the long end finished up over 6bps, and the Bloomberg Global Long Bond Index yield reached around 4.2%, its highest since July 2008. Energy did the rest, with crude up 5.36% on the Hormuz deadlock and the energy sector up 7.33%, the only sector to gain more than 2%.

That distinction matters for positioning. This was a supply and term-premium event in bonds, not a growth scare, and it sat alongside a consumer that is visibly cooling: retail sales fell 0.6% in July and discretionary was the worst sector at -1.89%. Our tactical allocation is unchanged: neutral equities, underweight fixed income, overweight cash, gold and commodities.

+0.33%

S&P 500, week

-0.01%

Nasdaq, week

+5.36%

Oil, week

+7.33%

Energy sector, week

Cross-asset returns, week and year to date

	Week	Year to date
Equities		
S&P 500	+0.33%	+13.70%
Dow Jones Industrial	-0.48%	+11.89%
Nasdaq Composite	-0.01%	+14.83%
Russell 2000	+0.97%	+23.46%
MSCI EAFE	+0.03%	+13.07%
MSCI EM	+1.38%	+21.63%
Fixed income		
Bloomberg U.S. Aggregate	+0.13%	+0.04%
Bloomberg Credit	+0.04%	-0.14%
Bloomberg High Yield	+0.19%	+2.64%
Commodities		
Oil (WTI)	+5.36%	+43.5%
Gold	+0.8%	+1.3%
Natural gas	+2.3%	-26.13%
S&P 500 sectors		
Energy	+7.33%	+37.80%
Utilities	+1.7%	+3.7%
Health care	+1.2%	+8.2%
Financials	+1.0%	+6.1%
Information technology	-0.01%	+23.61%
Consumer discretionary	-1.89%	+0.58%

Source: LPL Research, Bloomberg, data as at 14 August 2026. Index returns are price/total return as published; indexes are unmanaged and cannot be invested in directly.

Three observations

- Energy is carrying the year. It was the only sector up more than 2% on the week and, at +37.80% year to date, it is more than fourteen points ahead of the next best sector.
- The scoreboard flatters the tape. Core bonds ended barely positive at +0.13% after a full round trip, and the Aggregate is up just 0.04% on the year.
- Breadth is still where the returns are: the Russell 2000 leads at +23.46% year to date and MSCI EM, at +1.38%, led the week.

Four forces did most of the work

1 Cooler inflation, at last

July CPI confirmed that US consumer inflation is cooling, headline easing to 3.4% and core to 2.5%, with headline PPI flat at 0.0% against 0.2% expected. The pipeline is not clean yet: annual producer inflation is still 4.7% headline and 4.2% core.

2 The long end would not cooperate

Cooler prints rallied Treasuries mid-week; Thursday's auctions took it back. The 30-year cleared at its highest yield in 25 years, leaving the long end up over 6bps while the two-year traded near one-month lows.

3 Hormuz kept a bid under energy

Oil is trading between 85 and 89 USD per barrel and rose 5.36% as the deadlock held and the IEA projected the widest global supply deficit in five years. The energy sector gained 7.33% and is up 37.80% on the year.

4 A consumer that is cooling

Retail sales fell 0.6% month on month against a 0.1% rise expected, and core sales missed at -0.2% against +0.2%. With no growth in real worker compensation in Q2, we expect demand to weaken further.

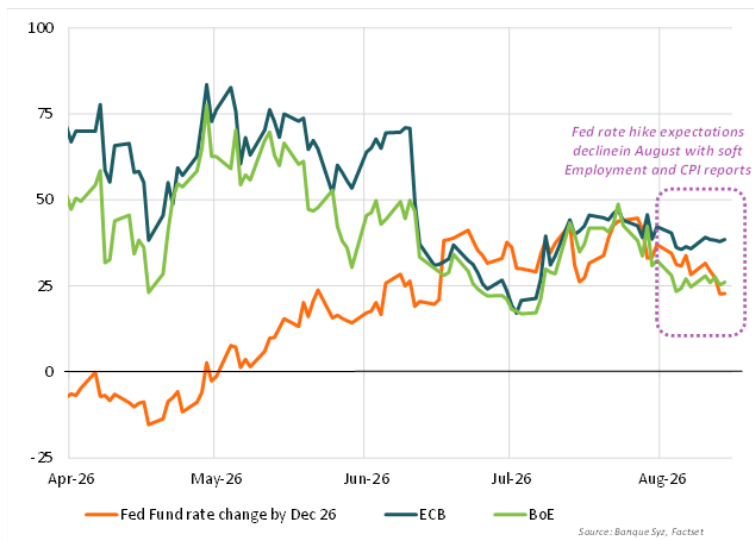
The counter-intuitive detail: the energy bid is sustained by rhetoric as much as by barrels. Speaking in New York on Friday, President Trump said that after Iran is defeated he would soon be declaring the Strait of Hormuz a territory of the United States. Nothing about the physical flow of oil changed last week; the risk premium did.

No meetings, and the market took a hike off the table anyway

Federal Reserve, patience is now the base case

Soft employment and inflation reports drove hike expectations lower. For the first time since June, a 25bp hike before year-end is not fully priced, at 91% probability, and no change in September now carries roughly 70% probability. On the futures curve, pricing has moved from about 1.8 hikes by December to around 1.1 today.

- **Market reaction.** The two-year sits near one-month lows while the 30-year is at 19-year highs, so the 2s30s curve steepened dramatically. The dollar index fell to three-month lows.
- **Our read.** Pricing is moving towards our view that inflationary pressures ease gradually and the Fed holds in September and at least until the mid-terms. Upside risks remain from Middle East tensions, energy prices and the AI boom's effect on electronics prices. We are following Chair Warsh at Jackson Hole closely.



Source: Banque Syz, Factset. Expected change in central bank key rates by the end of 2026, in basis points.

Bank of Japan, a hike is moving into view

Speculation is growing that a hike could be imminent, and Thursday's Japan CPI print effectively decides it. The complication is the currency: dollar weakness is not showing up in a stronger yen, which has erased almost half of the yentervention gains, with 160 per dollar the apparent line in the sand.

ECB, Bank of England and SNB

One 25bp hike remains fully priced for both by the end of 2026, in contrast to the Fed. In Switzerland, Q2 GDP came in at 1.5% quarter on quarter against the 0.2% to 0.5% expected, but with producer prices well below zero we still expect no change in SNB key rates in 2026.

Section 5: Macro pulse

Softer America, steadier Europe, China off the floor

United States

- **Inflation cooled.** Headline CPI eased to 3.4% and core to 2.5% in July, both in line, though annual producer inflation is still 4.7% headline and 4.2% core.
- **Passthrough is fading.** Trade margins grew only 2.4% year on year in July after 3.7% in June, evidence that producers are absorbing cost rather than passing it on.
- **The consumer disappointed.** Retail sales fell 0.6% month on month against +0.1% expected and core sales fell 0.2% against +0.2%, with sentiment weaker and no growth in real worker compensation in Q2.

Eurozone

- **The UK beat.** Q2 GDP expanded 0.4% quarter on quarter against a consensus of 0.1%, matching the United States.
- **Eurozone industry improved.** Industrial production rose 0.1% year on year against -0.8% expected, and solid Q2 GDP growth was confirmed.
- **Switzerland surprised sharply.** The flash estimate points to 1.5% real growth quarter on quarter in Q2, driven by chemicals and pharmaceuticals.

China

- **Financing beat, lending did not.** Net new total social financing came in above expectations, but new loan issuance remains sluggish and disappointed again in July.
- Surprises are improving from a low base, which is why emerging market surprises are catching up with developed markets even as both stay positive.

A quiet index sitting on top of a broadening market

US equities

On the surface this was the first genuinely quiet week in a long time, with volume and volatility clearly ebbing. The Russell 2000 performed best at +0.97%, the Dow finished lower and the Nasdaq Composite was little changed at -0.01%. Underneath, the internals kept improving.

- Breadth confirms the advance. More than 70% of S&P 500 constituents trade above their 200-day moving average, 74% on the latest reading, the highest since mid-2024, and the Nasdaq 100 Equal Weighted index made new all-time highs. BB and BBB spreads are at the tight, so rising rates are not yet feeding through to credit.
- Leadership may be turning. Technology's relative momentum is rolling over while health care and financials turn higher, both at new all-time highs, with pharma and biotech leading. That is a deceleration in technology momentum, not a break: absolute and relative trends there remain clearly positive.
- Sentiment is the one thing we are mindful of, at nearly 4:1 bulls to bears; 3.9 bulls for every bear is an extreme reading over the last decade. On the charts the breakout projects to roughly 8,000, a guide rather than a target.



Source: Strategas. S&P 500 with its 50-day and 200-day moving averages, and the share of constituents above their 200-day moving average.

The structural theme this quarter has shifted from demand to capacity. Qualcomm describes an industry at 100% utilisation, Intel one of the most severe supply constraints in its history, and Micron expects DRAM and NAND demand to exceed supply beyond calendar 2027. The same demand strength that supports growth is now creating cost pressure and margin risk.

Global equities

Plenty of new highs were recorded globally in August. The MSCI World Equal Weighted index reached new all-time highs with an increasing percentage of constituents above their long-term moving averages, and the Stoxx Europe 600 also printed new highs even though it ended the week down 0.36% in local currency terms.

Japan was the standout. The Nikkei 225 rose 4.74% on strong technology earnings led by memory companies, and the Topix is back at the highs with 70% of constituents above their 200-day moving average. Emerging market and Japan ETFs outperformed US equity ETFs, while Brazil and China finished in the red.

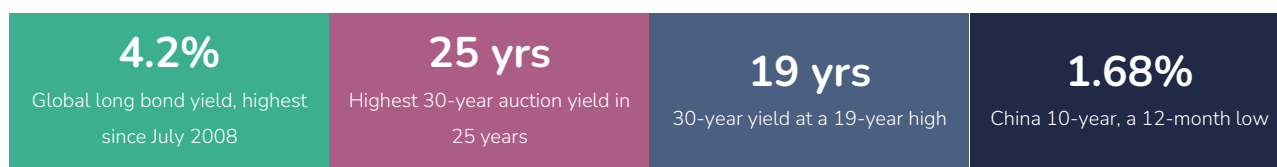
Fixed income, commodities, FX and crypto

- **Rates.** Long yields are rising globally, with the Bloomberg Global Long Bond Index yield around 4.2%, its highest since July 2008. Section 7 takes this apart.
- **Commodities.** Crude is on a roller-coaster driven by news flow, currently between 85 and 89 USD per barrel and up 43.5% on the year. Gold recovered on Friday to finish back in positive year-to-date territory and continues to decouple from higher real rates. Copper made a new high, with the LME spread at its highest since 2021.
- **Dollar.** The index fell to three-month lows, though the weakness is not showing up against the yen, which has erased almost half of the yentervention gains.
- **Bitcoin.** Another ugly week, back to the lower end of a range extending to May, with over \$200 million liquidated in 24 hours.

Section 7: Special topic 1

The long end is the real story of the week

Softer inflation should have rallied the whole curve. It rallied the front end and left the long end higher, and the auctions are the reason: Thursday's 30-year cleared at its highest yield in 25 years.



The auctions were the week's real news

Despite softer CPI and falling expectations for another Fed hike, the 30-year cleared at its highest yield in 25 years and the 10-year also came at historically elevated yields. That is a warning, and the cleanest evidence that the constraint on long rates is supply and term premium rather than the policy path.

This is a global repricing, not a US one

The Bloomberg Global Long Bond Index yield has surged to around 4.2%, its highest since July 2008, so long-term government borrowing costs are back at levels last seen during the global financial crisis. Yields are rising alongside earnings growth and upward revisions to real GDP, which is the good news. The bad news is that governments carry far more debt today, which makes refinancing increasingly expensive.

How the week unwound

From the CPI print to Friday's backup

Date	Event
Early week	July CPI landed at 3.4% headline and 2.5% core, in line with expectations.
Mid-week	Headline PPI was flat at 0.0% against 0.2% expected. Treasuries rallied and the first expected Fed hike moved out to next spring.
Thursday	The 30-year auction cleared at its highest yield since 2001, and the 10-year also came at historically elevated yields.
Friday	Crude extended its weekly gain and yields backed up, leaving the Bloomberg U.S. Aggregate at +0.13% for the week.

Where the money went instead

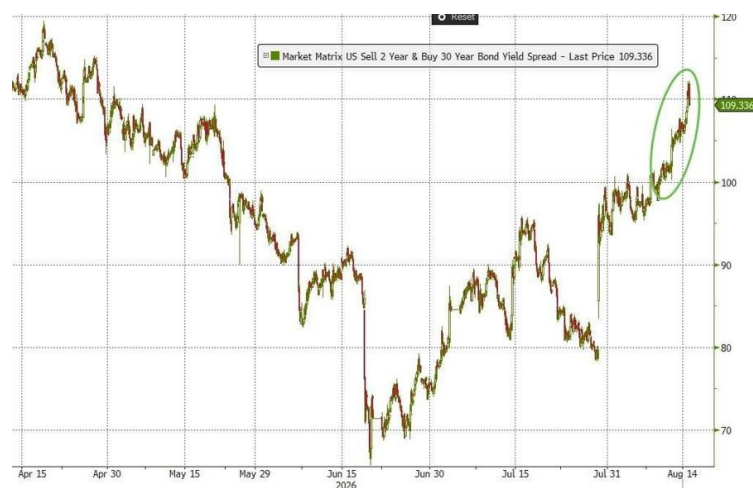
The Chinese 10-year yield hit a 12-month low of 1.68% last week, making China the only sovereign issuer currently in a fixed income bull market, consistent with liquidity leaving the US and Japanese bond markets and moving into China.

The policy support behind it is unusual: the People's Bank of China injected 348 billion yuan, about \$52 billion, through overnight reverse repos, its first mid-month injection in history.

Why the long end will not rally

Component	Status
Fiscal deficits	Enormous, and the first reason the deck gives.
Inflation uncertainty	Producer inflation is still 4.7% headline and 4.2% core.
Treasury supply	Massive. Two weak auctions in one week express it.
Fed credibility	The market may believe the Fed is done hiking; it does not believe inflation is dead.
Duration risk	Investors want more compensation to hold it, which is term premium by another name.

So what. A steepening driven by the long end is a funding signal, not a dovish one, and it argues for keeping the fixed income underweight for supply reasons rather than policy reasons. It also caps the comfort equities should take from cooler inflation: the discount rate that matters most for long-duration assets is set at the end of the curve the Fed does not control.



Source: Bloomberg, zerohedge. US 2s30s yield spread, last price 109.336.

Section 8: Special topic 2

Politics is becoming a market variable again

Two political stories moved from background noise into the price this week: the mid-term arithmetic and renewed pressure on the Federal Reserve.

The mid-terms are now a market variable

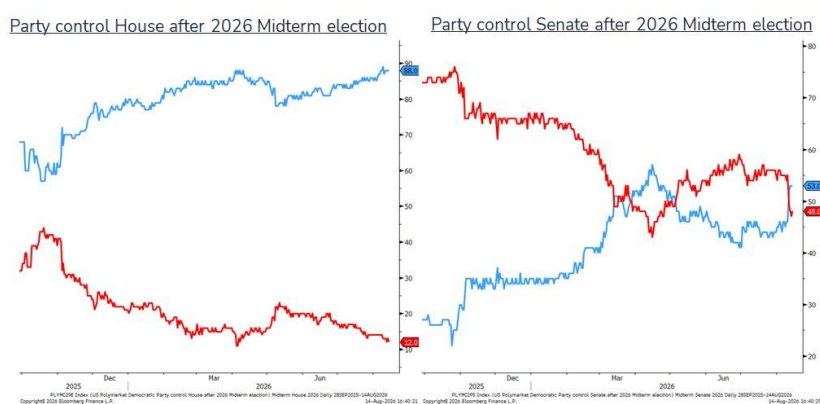
Prediction markets indicate a likely House loss for Republicans and rising Senate risk, with the Senate line now close to a coin flip. Bank of America has said the market could lose 10% if President Trump loses the Senate. Our

own house view flags the same calendar from the other direction: September and October ahead of the mid-terms could become a short-term issue for equities even in a constructive bull market.

Pressure on the Fed, and on the dollar

President Trump renewed his efforts to remove Federal Reserve Governor Lisa Cook, which could revive concerns about central bank independence and weigh on confidence in the dollar, already at three-month lows. It lands in the same week that year-end pricing fell from about 1.8 hikes to around 1.1, so any suspicion that the softer path is political rather than economic will show up in the long end and the currency first.

So what. Both stories work through one channel, the credibility of US policy, and both are dollar-negative and long-end-negative rather than equity-negative in the first instance. That argues for holding gold and commodities as policy hedges rather than inflation trades, and for treating autumn weakness around the mid-terms as calendar risk rather than a change in the backdrop.



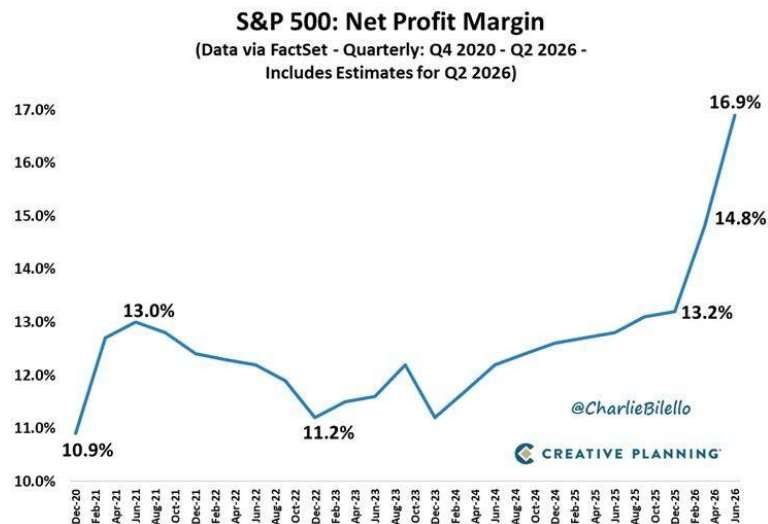
Source: Polymarket, Bloomberg. Market-implied probabilities of party control of the House and the Senate after the 2026 mid-term election.

Section 9: Earnings pulse

Q2 season: demand is not the problem, capacity is

Earnings season continued to act as a strong tailwind. With 88% of companies reported, the aggregates are the best in years and the management commentary points to one conclusion: supply, not demand, is the binding constraint.

- **The aggregates.** S&P 500 sales are up 15% over the last year, the highest growth rate since Q4 2021, and profit margins spiked to 16.9% in Q2, by far their highest level in history.
- **The word of the season was broad-based.** Bill Demchak of PNC said it is too broad-based to lay it all on AI, John Stern of US Bancorp said pretty much every category on the commercial side is green, and Honeywell reported broad-based order growth across all short-cycle businesses.
- **The consumer is two economies.** Nike says its consumer is under pressure around the world and Hershey points to low-income households, while Visa saw no weakening across the lower parts of the spend band. Mondelez calls it K-shaped growth.
- **AI is the engine but no longer the whole story.** TSMC expects capex over the next three years to run significantly higher than the past three, while Chevron says the grid cannot keep up with hyperscaler demand and Commercial Metals sees a multiyear construction pipeline across data centres, semiconductor capacity and energy networks.
- **Valuation is improving as a result.** Forward earnings are rising faster than the S&P 500, pushing valuations lower even as the index makes new highs.



Source: Charlie Bilello, FactSet. S&P 500 quarterly net profit margin, Q4 2020 to Q2 2026.

Weekly liquidity monitor

Indicator	Signal	Comment
Global M2 proxy	Neutral to positive	Flat on the week, close to its record high
Dollar	Positive	Index at three-month lows, which loosens global liquidity
Long-end yields	Negative	Global long bond yield around 4.2%, highest since July 2008
Credit spreads	Positive	BB and BBB on the tight; rates are not yet hitting credit
China policy	Positive	First mid-month reverse repo injection in history

Source: Syz Research, Bloomberg and Factset, compiled from the deck of 17 August 2026. Earnings pulse, Florian Marini, Head of Research.

House view and portfolio positioning

This is the part that carries into the portfolios. Tactical asset allocation is unchanged since 26 June.

Tactical asset allocation

- The weight of the evidence leads us to stay neutral on equities.
- Cash is overweight.
- All currencies are underweight against the US dollar, but the yen stays neutral against it.
- We currently maintain an overall underweight stance on fixed income.
- In alternatives we stay overweight gold and overweight commodities.
- We stay neutral hedge funds.

Tactical Asset Allocation - Preference Matrix		
	Underweight -	Neutral =
		Overweight +
ASSET CLASSES		
		Cash
		Equities
	Fixed Income	
		Alternatives
FIXED INCOME		
	Govies 1 - 10	
	Govies 10+	
		Corporate IG (local)
		High Yield (local / global / hds)
		EM Debt
EQUITY		
		United States
		Eurozone
		UK
		Switzerland
		Japan
		Emerging Markets
		China
ALTERNATIVES		
		Hedge Funds
COMMODITIES		
		Gold
		Commodities
FOREX (vs. USD)		
	EUR	
	CHF	
	GBP	
		JPY
	EM Currencies	

Source: Syz Research. Tactical Asset Allocation preference matrix, unchanged since 26 June 2026.

Macro scenarios

Scenario probabilities

Scenario	Prob.	Content
Baseline: Indian summer for 2026	50%	Global growth recovers from the energy price shock and trade ruptures, with investment and fiscal spending supportive. The US grows well on balanced fiscal stimulus, re-leveraging and AI productivity gains; the eurozone returns to recovery; China and emerging markets benefit from lower trade uncertainty and a global capex cycle. Inflation abates on lower oil prices and moderating demand, though the US, eurozone and UK stay above target, followed by Japan, while China and Switzerland run below it.
Inflation heatwave	30%	A new geopolitical eruption triggers another energy price inflation shock, or fiscal stimulus, re-leveraging and AI capex push growth into a boom that lets inflation surge without matching productivity gains. The US central bank becomes too dovish, gets behind the curve and has to catch up. Escalating trade disputes derail supply chains.
Growth freeze	20%	US lower and middle income classes freeze their consumption. The AI investment cycle drives layoffs to justify the spending, or breaks down as returns disappoint. Financial instabilities lead to a credit crunch, fiscal debt backfires and austerity returns, and China's involution policy chokes domestic growth and the global capex cycle.

Syz Symphony

Syz Symphony, as at 14 August 2026. Indicators remained steady this week, with no change recorded. Total equity allocation remains at 100%, split 75% US equities and 25% EU equities.

Investment conclusion

US inflation is moving in the right direction again. Softer recent data eased concerns that price pressures were becoming more persistent, and helped several equity indexes reach fresh all-time highs. For the Fed, patience remains appropriate: with the next meeting in mid-September, upcoming inflation and labour data will be critical, and moderating inflation and a relatively stable labour market give policymakers room to wait.

The broader backdrop remains constructive. Solid earnings growth, resilient activity and healthy consumer spending continue to support equities, and technicals, both trend and breadth, remain positive. We remain in a global equities bull market with broad participation. Sentiment, which is too positive, and seasonality, with September and October ahead of the mid-terms, could become short-term issues. We are also watching long-term bond yields.

Rather than betting on one macro scenario, diversification remains key. We maintain a neutral stance on equities, combining US and international exposure to capture opportunities from both AI-driven innovation and broader global economic growth.

What to watch

Four key things to watch

When	What	Why it matters
Mon 17 Aug	US foreign portfolio flows	Did Japan and China keep selling Treasuries? After two badly cleared auctions, foreign demand is what matters most for the long end.
Wed 19 Aug	FOMC minutes	If more members pushed for cuts, risk on. If inflation worry dominates, risk off. The only direct read on the committee before Jackson Hole.
Thu 20 Aug	Japan CPI	This decides whether the BoJ hikes. A hot print puts the carry trade back in play.
Fri 21 Aug	Global flash PMIs	The cleanest cross-check on whether US consumer softness is spreading into activity.

Beyond this week: Chair Warsh at Jackson Hole, where any hint that patience is political rather than economic goes straight into the long end and the dollar; the September FOMC, where no change carries about 70% probability; and Hormuz, where the deadlock holds a 43.5% year-to-date gain in crude in place.

Section 12: Risks to the view

What would change our mind

The long end keeps repricing

Another pair of auctions like last week's, with the global long bond yield at 4.2% and the 30-year at 19-year highs, would tell us the market is demanding term premium faster than earnings growth can absorb it. That is where the fixed income underweight stops being tactical and equity valuations start to matter.

Hormuz resolves, or escalates

Crude is up 43.5% on the year and the energy sector 37.80%, both resting on the deadlock persisting. A durable reopening unwinds much of that and removes an inflation impulse the Fed is weighing. Escalation revives the inflation heatwave scenario we hold at 30%.

The consumer cracks rather than cools

Retail sales fell 0.6% in July, core sales fell 0.2%, and real worker compensation grew not at all in Q2, while our constructive view rests on healthy consumer spending. If the next prints turn cooling into contraction, the growth freeze scenario at 20% gains weight and the cash overweight earns its place.

This summary is an internal condensation of the Weekly Investment Meeting deck dated 17 August 2026, powered by Syz Research. Sources as cited in the underlying deck, including LPL Research, Strategas, Bloomberg, Factset, Charlie Bilello, Polymarket and Syz Research. Past performance does not guarantee or predict future performance. Please see the important information at the end of the full deck. For professional investors only.